THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT
ANNUAL JOINT EXAMINATION

FORM THREE
061 COMMERCE

Time: 3 Hours **November 2024**

Instructions

1. This paper consists of **11** questions in sections **A, B** and **C**
2. Answer all questions in section **A** and **B**, and only **two** questions in section **C**.
3. Non programmable calculators may be used in the examination room
4. Cellular phones and any unauthorized materials are not allowed in examination room
5. Write your examination number on every page of your answer booklet(s)

SECTION A (16 Marks)

Answer all questions in this section

1. For each of the items (i)- (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer sheet provided

   i. After storing his goods in a warehouse, the importer is supposed to fill a document: which of the following is the name of that document

   A. Way bill
   B. Warehouse release warrant
   C. In bond note
   D. Charter

   ii. Some goods have multiple uses, where by an increase in demand for one use can reduce the availability of that good for other uses. What type of demand do these types of goods create?

   A. Derived demand
   B. Competitive demand
   C. Composite demand
   D. Complementary demand

   iii. In which kind of utility can cotton be shifted from extraction point to manufactures point?

   A. Time utility
   B. Possession utility
   C. Place utility
   D. Form utility

   iv. Find elasticity of demand given that when the price of a commodity is Tshs 4 the quantity demanded is 10 units, when the price increase to Tshs 8 quantity demand decrease to 8 units

   A. 0.3
   B. 0.4
   C. 0.2
   D. 0.5

   v. Which of the following method would Tanzania adopt if she wants completely to restrict importation of rice from Japan?

A. Imposing heavy import duties
B. Total ban
C. Fixing import quotas
D. Provision of customs drawbacks

vi. Seypalm is a large-scale retailer who wants to identify the fast moving goods in his business. Which stock calculation will Seypalm apply to arrive at the correct identification?
A. Average stock
B. Rate of stock turn
C. Cost of goods sold
D. Order point

vii. A term used to cover all the activities necessary in bringing goods and services into the market for exchange is
A. Warehouse
B. Transportation
C. Marketing
D. Advertising

viii. The process of influencing others to understand and agree on what need to be done and how to do it
A. Leadership
B. Organization
C. Planning
D. Staffing

ix. All of the following are functions of a central bank except
A. Issued of currency
B. Control of money supply
C. Provision of loans to businessmen
D. Lender of last resort

x. Mrs. Seypalm bears all risks in her business, but she has not taken any measure to prevent risks and no insurance has been taken to protect her business. Which way of managing risks Mrs. Seypalm's approach falls in among the following?
A. Transfer of risks
B. Accepting risks
C. Reducing risks
D. Preventing of risks

2. Match the descriptions of the forms of trade in column A with their corresponding names in column B by writing the letter of the correct response beside the item number in the answer book provided.

i. It provides information to the management	A. Issuing of stock
ii. This involves taking delivery of goods from the supplier	B. Care of stock
iii. This involves releasing sold stock to the customers	C. Stock taking
iv. This involves keeping the stock in good order at a right place	D. Stock valuation
v. This is the process finding the value of stock held at specific period of time	E. Receiving of stock
vi. This involves removing spoilt and damaged goods in a store.	F. Warehouse
	G. Stock control
	H. Placement of stock items

SECTION B (54 marks)
Answer all questions from this section

3. (a) What is inflation?
   (b) What are the effects of inflation on the following?
   i. Saving
   ii. Demand
   iii. Production
   iv. Ability to work

4. A certain land-locked country wants to transfer large amount of oil from abroad via Tanzania. Mention the kind of transport the country will have to use and discuss 3 merits and 3 demerits of that transport.

5. Seypalm has decided to start a poultry project that will cost 50,000,000. He decided to get a loan from CRDB bank. What factors will the bank manager take into account before granting a loan? Defend by giving out five (5) factors.

6. In our daily life we cannot live without communicating with other people, and communication involves a number of important elements, with the aid of diagram explain the elements.

7. The members of Parliament of country B argued that, being isolated from other countries is an advantage as it omits overdependence and depression. As an expert in commerce, basing on the merits of international trade, explain to them why countries must participate in international trade. Give five points.

8. Explain any six (6) reasons behind commerce growth.

SECTION C (30 Marks)
Answer any two questions from this section

9. Most young people in the society complain about the lack of opportunities in the country, without making adequate efforts when seeking for opportunities. As a commerce scholar, advise them five ways they can find opportunities in the country.

10. Bahati is struggling to start business in Dodoma City. He is very motivated to start a business as he finds a large number of people from different regions in the country moves to the capital city; to him that is a big opportunity. He has identified six potential businesses that he is capable of dealing with; however; capital is a big problem to him. As an expert, advise him on how to get rid of the problem.

11. Warehousing is one among the essential aids to trade in commerce. Explain six types of warehouses you know.